Marketing Management

Marketing Management means **planning and managing all activities that help a company sell its products or services** to customers.

Marketing management is the **process of understanding customers and satisfying their needs in a profitable way**.

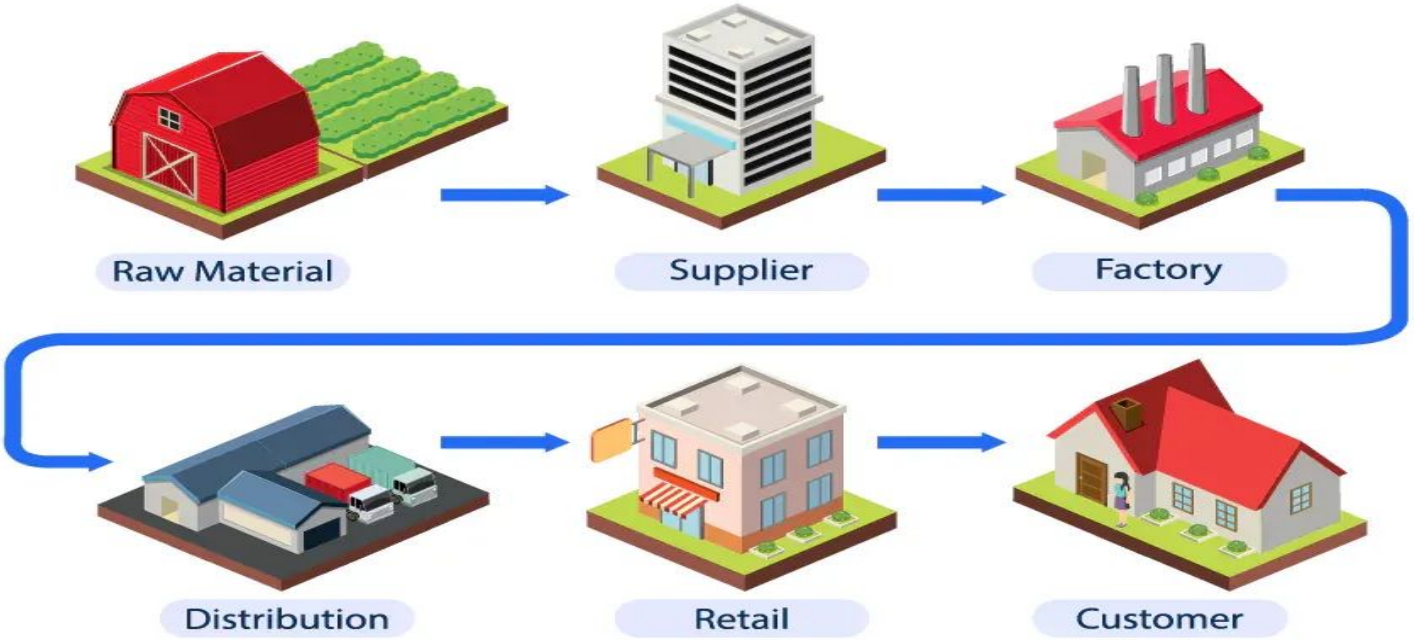
It include activities like

- Identifying customers need
- Designing the right product
- Fixing the right price
- Promoting it properly
- Making it available to the customers

Core Concepts of Marketing

- **Needs, Wants and Demands**
- **Product**
- **Value, Cost and Satisfaction**
- **Exchange (The process of giving something to get something) and Transaction (A completed deal between buyer and seller. End of exchange process)**
- **Relationship and Networks**
- **Market (A market is a group of buyers and sellers.)**
- **Marketers and Prospects**
- **Competition (Different companies selling similar products compete with each other)**
- **Marketing Environment (Economy, Government rules, Technology, Social trends)**
- **Supply Chain Management (managing the flow of goods from Raw material → Factory → Wholesaler → Retailer → Customer)**

Supply Chain Management



Segmentation, Targeting and Positioning

Market segmentation is the strategic process of dividing a broad target market into smaller, manageable, and homogeneous groups of consumers who share similar characteristics, needs, or behaviors.

Bases for Segmenting Consumer Markets:

- **Geographic:** Region, City, Rural and Semi-urban areas
- **Demographic:** Age, Family size, Gender, Income, Occupation, Education, Socio-Economic Classification (SEC)
- **Psychographic:** Lifestyle, Personality
- **Behavioral:** Occasions, Benefits, User status, Usage rate, Loyalty status, Readiness stage, Attitude towards product

Major Segmentation Variables for Consumer Markets

Geographic	
Region	South, West, North, East
City	Class-I cities, class-II cities, metros, cities with a population of 0.5 million to 1 million, cities with a population of over 1 million
Rural and semi-urban areas	Rural villages with a population of over 10,000, semi-urban areas, small towns with a population between 20,000 and 50,000
Demographic	
Age	Under 6 years, 6–11 years, 12–19 years, 20–34 years, 35–49 years, 50–60 years, 60+ years
Family size	Young, single; young, married, no children; young, married, youngest child under 6; young, married, youngest child under 6 or over; older, married, with children; older, married, no children under 18; older, single; other
Gender	Male, female
Income	Low (up to ₹40,000 p.a.), lower middle (₹40,001–80,000 p.a.), middle (₹80,001–120,000 p.a.), upper middle (₹120,001–160,000 p.a.), and high (above ₹160,000 p.a.)
Occupation	Unskilled workers, skilled workers, petty traders, shop owners, businessmen/industrialists, self-employed (professionals, clerical/salespersons, supervisory levels, officers/junior executives, middle/senior executives)
Education	Illiterate, school up to 4 years, school between 5 and 9 years, SSC/HSC, nongraduate, graduate/postgraduate (general), graduate/postgraduate (professional)
Socio-Economic Classification (SEC)	A1, A2, B1, B2, C, D, E1, E2
Psychographic	
Lifestyle	Culture-oriented, sports-oriented, outdoor-oriented
Personality	Compulsive, gregarious, authoritarian, ambitious
Behavioral	
Occasions	Regular, special
Benefits	Quality, service, economy, speed
User status	Nonuser, ex-user, potential user, first-time user, regular user
Usage rate	Light, medium, heavy
Loyalty status	None, medium, strong, absolute
Readiness stage	Unaware, aware, informed, interested, desirous, intending to buy
Attitude toward product	Enthusiastic, positive, indifferent, negative, hostile

Bases for Segmenting Business market:

Industrial customers tend to be fewer in number and purchase larger quantities. Many of the consumer market **segmentation variables can be applied to industrial markets**. Industrial markets might be segmented on characteristics such as:

1) Location

- Companies in urban areas, rural areas, in different states or countries.
- Location matters because transport cost, demand, and business environment are different in each place.

2) Company type

- What kind of business the company is manufacturing, service, Retail, small, medium, or large companies.
- Different types of companies have different needs and buying capacity.

Major Segmentation Variables for Business Markets

Demographic

1. *Industry:* Which industries should we serve?
2. *Company size:* What size companies should we serve?
3. *Location:* What geographical areas should we serve?

Operating Variables

4. *Technology:* What customer technologies should we focus on?
5. *User or nonuser status:* Should we serve heavy users, medium users, light users, or nonusers?
6. *Customer capabilities:* Should we serve customers needing many or few services?

Purchasing Approaches

7. *Purchasing-function organization:* Should we serve companies with a highly centralized or decentralized purchasing organization?
8. *Power structure:* Should we serve companies that are engineering dominated, financially dominated, and so on?
9. *Nature of existing relationship:* Should we serve companies with which we have strong relationships or simply go after the most desirable companies?
10. *General purchasing policies:* Should we serve companies that prefer leasing? Service contract? Systems purchases? Sealed bids?
11. *Purchasing criteria:* Should we serve companies that are seeking quality? Service? Price?

Situational Factors

12. *Urgency:* Should we serve companies that need quick and sudden delivery or service?
13. *Specific application:* Should we focus on a certain application of our product rather than all applications?
14. *Size or order:* Should we focus on large or small orders?

Personal Characteristics

15. *Buyer-seller similarity:* Should we serve companies whose people and values are similar to ours?
16. *Attitude toward risk:* Should we serve risk-taking or risk-avoiding customers?
17. *Loyalty:* Should we serve companies that show high loyalty to their suppliers?

Source: Adapted from Thomas V. Bonoma and Benson P. Shapiro, *Segmenting the Industrial Market* (Lexington, MA: Lexington Books, 1983).

Targeting:

Target Marketing **involves breaking a market into segments and then concentrating your marketing efforts on one or a few key segments**. Target marketing can be the **key to a business's success**.

	P1	P2	P3
M1			
M2			
M3			

Target Market strategies:

- Single segment concentrated strategy -

one specific product to **one specific group**.

Example: **Rolls-Royce.** They target the **ultra-wealthy** with a very specific, **hand-crafted luxury automobile.**

- Selective specialization -

multiple different segments that have **no real connection to each other.**

Different product for selective different segments.

Example: **Titan selects specific lifestyle segments** and focuses strongly on them.

- Titan Watches - Premium & formal watch segment
- Tanishq - Jewellery segment
- Titan Eye+ - Eyewear segment

Titan focuses only on watches, jewellery, and eyewear, not food, clothing, electronics, etc.

- Product specialization -

One specific product, many different types of customers.

Example: Zoom. They provide one core product (video conferencing) to schools, corporate offices, and individual families.

- Market specialization -

one specific group, many different types of products

Example: Johnson & Johnson's Baby Line. They **target "New Parents"** (one group) and offer them soap, diapers, lotion, and powder.

- Full market coverage –

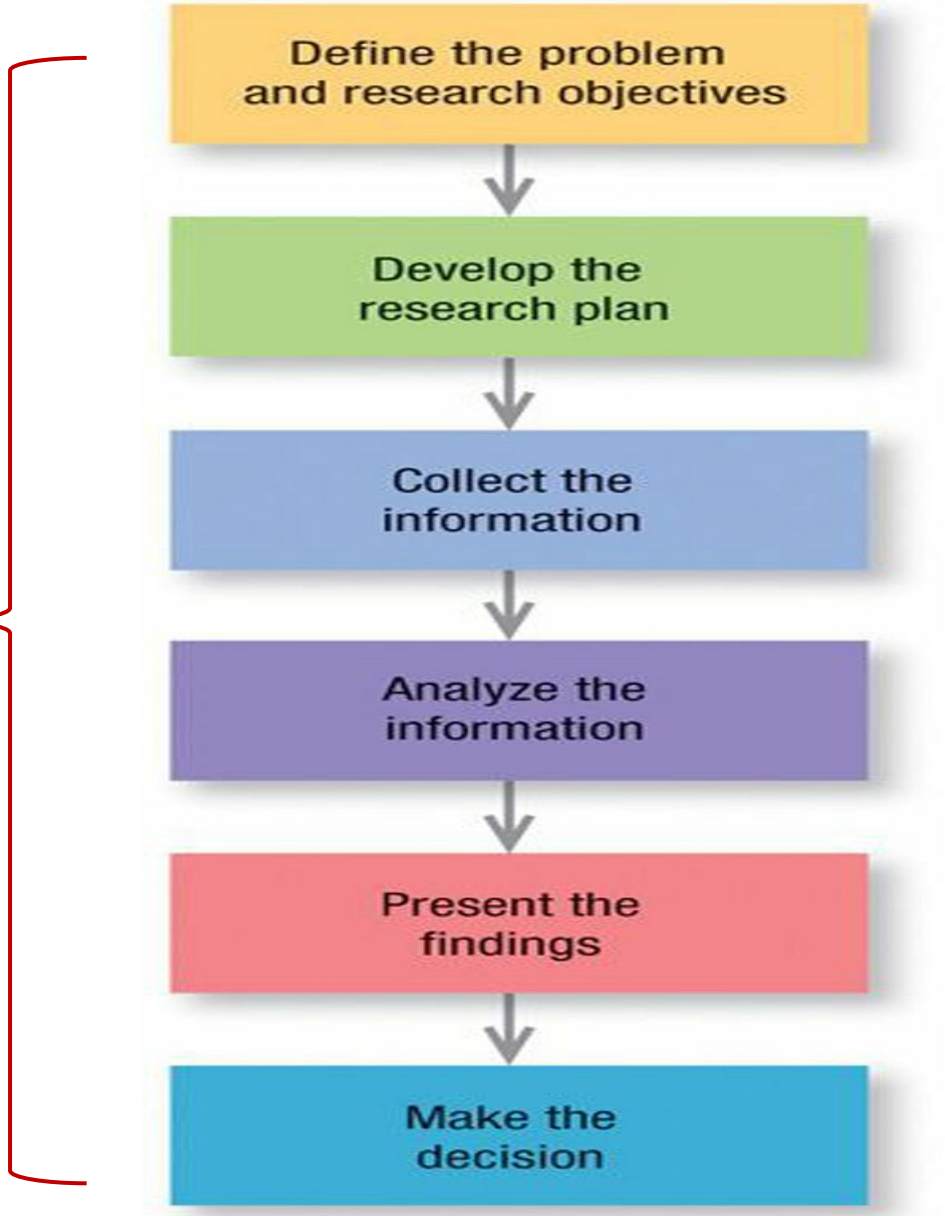
The company tries to **serve all customer segments with different products**. Example: **Hindustan Unilever** sells soaps, shampoos, food items, detergents, etc., for different income groups and age groups.

Positioning:

The position of a product is the sum of those attributes normally ascribed to it by the consumers – its standing, its quality, the type of people who use it, its strengths, its weaknesses, any other unusual or memorable characteristics it may possess, its price and the value it represents.

-Perception

Marketing Research

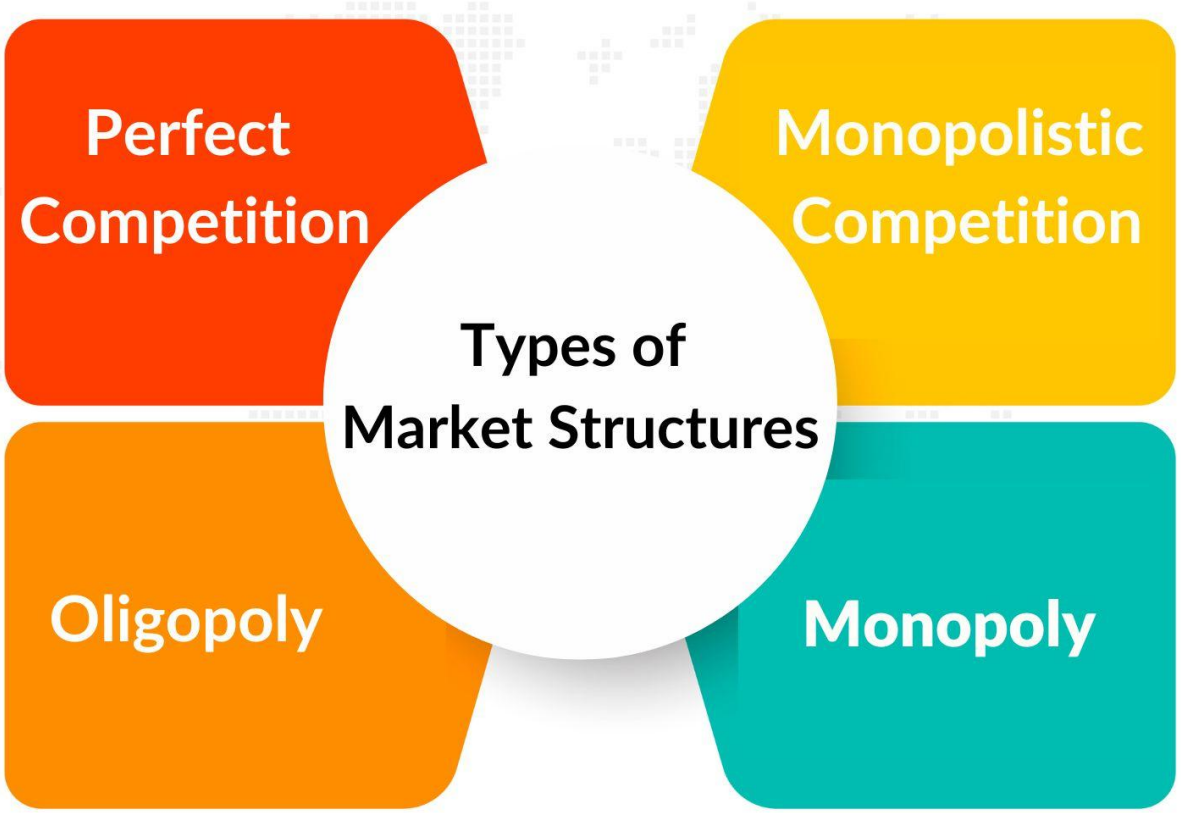


Four Ps

Marketing Mix Four Ps	Modern Marketing Management Four Ps
Product	People
Place	Processes
Promotion	Programs
Price	Performance

Source: Philip Kotler et al, Marketing Management, 14th Edition, Page No. 23

MARKET STRUCTURE



Structure	Number of Sellers	Product Type	Price Control
Perfect	Many	Identical	None
Monopolistic	Many	Differentiated	Some
Oligopoly	Few	Similar/Unique	High
Monopoly	One	Unique	Very High

- **Task:** You are a Marketing Scout. Your job is to find a "Disruptive Marketing Moment" from the last 5-10years.

Instructions:

- **Find your "Moment":** Look for a brand that did something "un-boring." It could be a weird TikTok trend, a physical stunt in a city, or a strange product mashup (e.g., Red Bull jumping from space, or IKEA making a "funeral" for a catalog).
- **Analyze the "Why":** Don't just tell us *what* they did. Tell us *why* it worked for their specific audience.
- **The 3-Minute Rule:** Prepare to show the class one visual of this campaign and explain:
  - What was the "weird" factor?
  - Who was it for?
  - Did it actually help the brand, or was it just a prank?

Reference: Marketing Management by Philip Kotler el al. any latest edition.

Preferably - South Asian edition

Thank You

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